Escalation Matrix

1. Purpose

This document defines the escalation framework for loan collection activities. It specifies when and how cases should be escalated from one collection stage to the next, and which teams are responsible at each level.

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2. Collection Teams and Responsibilities

Level 1: Soft Collection Team (Tele-calling)

- Handles: DPD 1-30 accounts
- Team Size: Based on portfolio size
- Target: Resolve 70% of cases before DPD 30
- Reporting: Daily call logs, weekly resolution reports
- KPI: Promise-to-Pay (PTP) conversion rate, right-party contact rate

Level 2: Intensive Collection Team

- Handles: DPD 31-60 accounts, unresolved Level 1 cases
- Actions: Dedicated agent assignment, demand notices, restructuring offers
- Target: Resolve 50% of cases before DPD 60
- Reporting: Weekly case reviews with team lead
- KPI: Collection efficiency, EMI restructuring success rate

Level 3: Hard Collection and Field Team

- Handles: DPD 61-90 accounts, unresolved Level 2 cases
- Actions: Field visits, legal notice preparation, OTS negotiations
- Target: Initiate contact with 90% of accounts through field visits
- Reporting: Field visit reports with GPS tracking
- KPI: Field contact rate, recovery amount per visit

Level 4: Legal and Recovery Team

- Handles: DPD 90+ accounts, NPA classified accounts
- Actions: Legal proceedings, SARFAESI, asset seizure, ARC referral
- Target: Maximize recovery through legal channels
- Reporting: Monthly legal proceedings status
- KPI: Legal recovery rate, cost of recovery

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3. Escalation Triggers

Automatic Escalation Criteria

From Level 1 to Level 2:
- DPD crosses 30 days
- Borrower unreachable after 5 contact attempts
- Borrower refuses to pay or disputes the debt
- Cheque bounce or auto-debit failure more than twice

From Level 2 to Level 3:
- DPD crosses 60 days
- No payment received after demand notice
- Borrower breaks Promise-to-Pay (PTP) twice
- Loan amount exceeds Rs 5,00,000 and DPD exceeds 45 days

From Level 3 to Level 4:
- DPD crosses 90 days (NPA classification)
- Borrower untraceable after field visits
- Total outstanding exceeds Rs 10,00,000
- Suspected fraud or willful default

Priority Escalation (Fast-Track)

The following conditions trigger immediate escalation regardless of DPD:
- Loan amount above Rs 50,00,000: Assign Level 3 team at DPD 31
- Grade G with loan above Rs 10,00,000: Assign Level 3 team at DPD 31
- Borrower threatens or is abusive: Escalate to legal team immediately
- Suspected fraud indicators: Escalate to fraud and legal team immediately
- Borrower files bankruptcy or insolvency: Immediate legal team involvement

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4. Manager Escalation Thresholds

Team Lead Review Required

- Any account with outstanding above Rs 25,00,000
- Cases where borrower has filed formal complaints
- Cases with more than 3 broken PTP commitments
- Accounts showing unusual patterns (partial payments, frequent disputes)

Regional Manager Review Required

- Any account with outstanding above Rs 1,00,00,000
- Cases involving politically exposed persons (PEPs)
- Cases requiring SARFAESI proceedings
- Group defaults (multiple loans from same borrower/guarantor)

Head of Collections Review Required

- Write-off recommendations above Rs 50,00,000
- Settlement offers with discount above 30%
- Cases involving legal counter-suits by borrowers
- Media-sensitive cases

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5. Escalation Timelines

From	To	Maximum Time
Level 1	Level 2	DPD 30 or 5 failed contacts
Level 2	Level 3	DPD 60 or 2 broken PTPs
Level 3	Level 4	DPD 90 or borrower untraceable
Level 4	External Legal	DPD 120 or suit filing required
Level 4	ARC Referral	DPD 270 or write-off evaluation

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6. De-escalation Criteria

An account can be de-escalated to a lower level when:
- Borrower makes a partial payment covering at least 50% of overdue amount
- Borrower enters into a formal EMI restructuring agreement
- DPD reduces to below the threshold of the current level
- Settlement agreement is signed and first installment received